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Chapter 8
Municipal Bonds: Local Government Debt Securities

Municipal bonds are securities that state governments, local governments, and U.S. territories issue. The municipality uses the money it borrows from investors to fund and support projects, such as roads, schools, sewer systems, hospitals, and so on. Municipal bonds may also be issued to raise money for operating budgets.

Even though you're most likely to spend a majority of your time selling equity securities (stocks), for some unknown reason, the SIE and some of the corequisite exams, such as the Series 7, test heavily on municipal securities. If you've flipped ahead, you may have noticed that this chapter isn't one of the biggest in the book. Why is that? Well, I cover a lot of the bond basics, such as par value, maturity, types of maturities (term, serial, and balloon), and so on, in Chapter 7. Also, you can find some of the underwriting information in Chapter 5.

In this chapter, I cover the SIE exam topics that are going to be tested relating to municipal bonds. This chapter and the real exam focus mainly on the differences between general obligation bonds and revenue bonds. The chapter wraps up with an exam to test your knowledge.

General Obligation (GO) Bonds: Backing Bonds with Taxes

Most SIE municipal test questions are on general obligation (GO) bonds. The following sections help you prepare.

General characteristics of GOs

REMEMBER

When you're preparing to take the SIE exam, you need to recognize and remember a few items that are specific to GO bonds:

- **They fund nonrevenue-producing facilities.** GO bonds aren't self-supporting because municipalities issue them to build or support projects that don't bring in enough (or any) money to help pay off the bonds. GOs fund schools, libraries, police departments, fire stations, and so on.
- **They're backed by the full faith and credit (taxing power) of the municipality.** The taxes received from the people living in the municipality back GO bonds.
- **They often require voter approval.** Because the generous taxes of the people living in the municipality back the bonds, those same taxpayers have the right to vote on the project when a municipality reaches their statutory debt limit.

The following question tests your knowledge of GO bonds.

EXAMPLE

Which of the following projects are MORE likely to be financed by general obligation bonds than revenue bonds (discussed later in this chapter)?

I. New municipal hospital

II. Public sports arena

III. New junior high school

IV. New library

(A) I and II only

(B) III and IV only

(C) I and III only

(D) I, III, and IV only

The correct answer is (B). Remember that GO bonds are issued to fund nonrevenue-producing projects. A new municipal hospital and a public sports arena will produce income that can back revenue bonds. But a new junior high school and a new library need the support of taxes to pay off the bonds and, therefore, are more likely to be financed by GO bonds.

Analyzing GO bonds

The SIE exam tests your ability to analyze different types of municipal securities and help a customer make a decision that best suits their needs. You should be able to analyze a GO bond as you'd analyze other investments. But because they're backed by taxes rather than sales of goods and services (as most corporations are), GO bonds have different components you need to look at when analyzing the marketability and safety of the issue.

Ascertaining marketability

Many items can affect the marketability of municipal bonds, including the characteristics of the issuer, factors affecting the issuer's ability to pay, and municipal debt ratios. You certainly want to steer investors away from municipal bonds that aren't very marketable unless those investors are willing to take extra risk. Here's a list of some of the other items that can affect the bonds' marketability:

- **Quality (rating):** The higher the credit rating, the safer the bond and, therefore, the more marketable it is.

» **Maturity:** Typically, the shorter the maturity, the more marketable the bond issue is.

» **Call features:** Callable bonds are less marketable than noncallable bonds.

REMEMBER

Callable bonds give the issuer the right to call (redeem) the bonds from the holder at certain points before the maturity date.

» **Interest (coupon) rate:** Everything else being somewhat equal, bonds with higher coupon (interest) rates are more marketable.

» **Block size:** The larger the block size (the number of securities sold in the initial offering), the more marketable the bond usually is.

» **Dollar price:** All else being equal, the lower the dollar price, the more marketable the bond is.

» **Issuer's name (local or national reputation):** Bonds are more marketable when the issuer has a good reputation for paying off its bonds on time.

» **Sinking fund:** If the issuer has put money aside to pay the bonds off at maturity, the bonds are more marketable because the default risk is lower.

» **Insurance:** If the bonds are insured against default, they're considered to be very safe and are much more marketable. Bond insurance is considered to be a *credit enhancement.*

Dealing with debt

One factor that influences the safety of a GO bond is the municipality's ability to deal with debt. After you consider the issuer's name, you can look at previous issues that the municipality had and find out whether it was able to pay off the debt in a timely manner.

In addition to the municipality's name (and credit history), you want to look at its current debt (the debt the municipality owes directly) and its net overall debt (including the debt the issuer owes directly and overlapping debt). *Overlapping debt* is debt that an issuer owes for being part of a larger state and local government. In other words, a town is part of a county and, in turn, is part of a state.

Bringing in taxes, fees, and fines

Taxes — one of life's little certainties — are another factor that influence the safety of GO bonds. Property taxes (collected by local municipalities, not states) and sales taxes are the driving forces behind paying back investors. So, in general, the higher the property values and the larger the tax base, the safer the municipal bond issue is. GOs are also backed by traffic fines, licensing fees, sales taxes, and so on.

REMEMBER

Municipal GO bonds are backed by the huge taxing power of a municipality, so GO bonds usually have higher ratings and lower yields than revenue bonds. Because investors aren't taking as much risk, they don't get as much reward, or *yield*.

Revenue Bonds: Raising Money for Utilities and Such

Unlike the tax-backed GO bonds (see the preceding sections), *revenue bonds* are issued to fund municipal facilities that will generate (or ideally will generate) enough income to support the bonds. These bonds raise money for certain utilities, toll roads, airports, hospitals, student grants offered by certain states, and so on.

A municipality can also issue *industrial development revenue bonds* (IDRs) to finance the construction of a facility for a corporation that moves into that municipality. Even though a municipality issues IDRs, they're backed by lease payments made by a corporation. Because the corporation is backing the bonds, the credit rating of the bonds is derived from the credit rating of the corporation.

REMEMBER

Because IDRs are backed by a corporation rather than a municipality, IDRs are generally considered to be the riskiest municipal bonds. Additionally, because these bonds are issued for the benefit of a corporation, not a municipality, the interest income may not be federally tax-free to investors who are subject to the alternative minimum tax (AMT).

General characteristics of revenue bonds

REMEMBER

Before taking the SIE exam, you need to recognize and remember a couple of items that are specific to revenue bonds:

- **They don't need voter approval.** Because revenue bonds fund a revenue-producing facility and, therefore, aren't backed by taxes, they don't require voter approval. The revenue that the facility generates should be sufficient to pay off the debt.
- **They require a feasibility study.** Before issuing revenue bonds, the municipality hires consultants to prepare a feasibility study. The study answers the question "Does this project make sense?" The study includes estimates of revenue that the facility could generate, along with any economic, operating, or engineering aspects of the project that would be of interest to the municipality.

Analyzing revenue bonds

As with any investment, you need to check out the specifics of the security. When you're gauging the safety of a revenue bond, for example, you want to see whether it has a *credit enhancement* (insurance), which provides a higher degree of safety. You also want to look at *call features* (whether the issuer has the right to force investors to redeem their bonds early). You can assume that if a bond is callable, it has a higher yield than a noncallable bond because the investor is taking more risk. (The investor doesn't know how long they can hold onto the bond.)

For SIE exam purposes, and if you ever sell one or more revenue bond, you also need to be familiar with the revenue-bond-specific items in this section. Municipal revenue bonds involve covenants, wonderful little promises that protect investors by holding the issuer legally accountable. Table 8-1 shows some of the promises that municipalities make on the municipal bond indenture.

TIP

If you see the word *covenant* on the SIE exam or any of the corequisite exams, immediately think of revenue bonds.

Other factors that provide investors a certain degree of comfort are that municipalities must provide financial reports and that they are subject to outside audits for all their revenue bond issues.

TABLE 8-1 **Revenue Bond Covenants**

Type of Covenant	Promises That the Municipality Will
Rate covenant	Charge sufficient fees to people using the facility to be able to pay expenses and the debt service (principal and interest on the bonds)
Maintenance covenant	Adequately take care of the facility and any equipment so the facility continues to earn revenue
Insurance covenant	Adequately insure the facility

The Primary Market: Bringing New Municipal Bonds to Market

As you can imagine, like corporations and partnerships, municipalities need help selling their issues. To that end, they can choose their underwriter(s) directly, the way almost all corporations and Direct Participation Programs (DPPs) do it, or through a competitive (bidding) process:

- **Negotiated offering:** In this type of offering, the issuer chooses the underwriter(s) (a group of underwriters is called a *syndicate*) directly, with no competition from other underwriters. Like most corporations, municipalities that issue revenue bonds or IDRs typically choose the underwriter(s) directly, although they have the option of taking bids. Like many corporations, municipalities often have a relationship with one or more underwriters that they're comfortable working with. Because revenue bonds aren't backed by taxing power the way GOs are, the issuers aren't obligated to get the best price or coupon rate for their bond issue.
- **Competitive offering:** Because GO bonds are backed by the taxing power of the municipality, the municipal issuers are responsible for getting the best deal for the people who live in their municipality. To ensure the best deal, they post an advertisement known as a notice of sale in the *Daily Bond Buyer* (the main source of information about new municipal bonds), saying that they're accepting bids on a new issue of bonds. At this point, interested underwriters submit a good-faith deposit (to prove their sincerity) and their bids to the issuer. As you may suspect, the winner of the bid will be the underwriter that presents the lowest cost to the taxpayers backing the bond. The lowest cost could be the result of issuing the bond with a lower coupon rate and/or agreeing to pay more to purchase the bonds. Don't be too concerned about the underwriters that don't win; they'll get their good-faith deposit back.

REMEMBER

The notice of sale contains all bidding information about new municipal issues. Besides just saying that it's taking bids, the issuer gives bidding details. It tells potential underwriters where to submit bids, the amount of the good-faith deposit, whether it's expecting bids on the basis of net interest cost (NIC) or true interest cost (TIC, which considers the time value of money), the amount of bonds to be issued, the maturity of bonds to be issued, and so on. It's the responsibility of the underwriters to determine the coupon rate (based on the credit history of the issuer, the amount of outstanding debt, the size of the issue, the tax base, and so on) and selling price of the issue.

An underwriter needs to be able to sell the issue and still make a profit, so the selling price and the coupon rate have to be attractive to investors. You should remember that the difference between the cost the issuer pays for the security and the amount it receives from investors is called the *spread.* For argument's sake, suppose that the underwriter agrees to purchase the bonds for $990 each from the issuer and then reoffer them to the public for $1,000 each; the spread is $10 per bond. The underwriter's profit lies within that spread.

MUNICIPAL ADVISERS

Municipal advisers are firms or professionals that provide professional advice on bond sales and other financial advice to state and local governments. They help the state or local government decide the timing, structure, terms, amount, coupon rate, maturity schedule, and other aspects of borrowing money (issuing debt securities).

Allocation of orders

Under Municipal Securities Rulemaking Board (MSRB) rules, all syndicates must establish an allocation of orders. The allocation of orders states which orders are to be filled first — a priority provision. The allocation of orders must be supplied to customers who request it. The allocation of orders is in the syndicate agreement (agreement among underwriters) and must be signed by all syndicate members. The typical allocation of orders is as follows:

1. Presale orders

   These orders are entered before the date when the securities were officially available for sale.

2. Syndicate (group-net) orders

   In this case, the syndicate member receiving the order credits the sale to all the syndicate members, so all members profit.

3. Designated orders

   For designated orders, the buyer specifies which syndicate member is to profit from the sale.

4. Member orders

   If any securities are left after the presale, syndicate, and designated orders, syndicate members may purchase them for their own portfolios.

Definitions for new issues

The information contained in this section would be covered under the last section as MSRB Rule G-9. Because the rule has to do with the underwriting of municipal securities, however, it makes more sense to cover it in this section. The following list provides some of the terms specifically related to municipal bond underwritings.

- **Date of sale:** The *date of sale* is the date when the bids are submitted to the issuer for competitive offerings. For negotiated offerings, this date is when the syndicate signs the final contract. In both cases, the syndicate manager sends a commitment wire to the other syndicate members on the date of sale.
- **Presale period:** The *presale period* is the period preceding the date of sale.
- **Order period:** The *order period* is the time (established by the syndicate manager) during which syndicate members may solicit customers.
- **Underwriting period:** The *underwriting period* begins when the first order is submitted to the syndicate or when the securities are purchased from the issuer, whichever happens first. The underwriting period ends when the issuer delivers securities to the syndicate or the syndicate sells all the securities purchased from the issuer, whichever happens last.

Examining Other Types of Municipal Bonds on the Test

Along with standard revenue and GO bonds (see the earlier sections on these topics), you're required to know the specifics of the following bonds:

- **Special tax bonds:** These bonds are secured by one or more taxes other than ad valorem (property) taxes. The bonds may be backed by sales taxes on fuel, tobacco, alcohol, business license taxes, and so on.
- **Special assessment (special district) bonds:** These bonds are issued to fund the construction of sidewalks, streets, sewers, and so on. Special assessment bonds are backed by taxes only on the properties that benefit from the improvements. In other words, if people who live a few blocks away from you get new sidewalks, they'll be taxed for it, not you.
- **Double-barreled bonds:** These bonds are a combination of revenue and GO bonds. Municipalities issue these bonds to fund revenue-producing facilities (toll bridges, water and sewer facilities, and so on), but if the revenue taken in isn't enough to pay off the debt, tax revenue makes up the deficiency.
- **Limited-tax general obligation bonds (LTGO):** These bonds are GO bonds for which the taxes backing the bonds are limited. LTGO bonds are secured by all revenue of the municipality that isn't used to back other bonds. The amount of property taxes municipalities can levy to back these bonds is limited, however. If the bond is backed by an unlimited tax pledge, the municipality can raise property tax rates to ensure that the bonds can be paid off, which is good for investors but bad for homeowners.
- **Public housing authority bonds (PHAs):** These bonds, also called new housing authority (NHA) bonds, are issued by local housing authorities to build and improve low-income housing. These bonds are backed by U.S. government subsidies, and if the issuer can't pay off the debt, the U.S. government makes up any shortfalls.

  TIP

  Because PHAs are backed by the issuer and the U.S. government, they're considered to be among the safest municipal bonds.
- **Moral obligation bonds:** These bonds are issued by a municipality but backed by a pledge from the state government to pay off the debt if the municipality can't. Given the additional backing of the state, they're considered to be safe. Moral obligation bonds need legislative approval to be issued.

  REMEMBER

  Because they're called *moral obligation* bonds, the state has a *moral* responsibility — but not a legal obligation — to help pay off the debt if the municipality can't.

The following question tests your ability to answer questions about the safety of municipal bonds.

EXAMPLE

Rank the following municipal bonds in order from safest to riskiest.

I. Revenue bonds

II. Moral obligation bonds

III. Public housing authority bonds

IV. Industrial development revenue bonds

(A) I, II, III, IV

(B) III, II, I, IV

(C) II, III, IV, I

(D) II, IV, III, I

The correct answer is (B). Remember that PHA bonds are considered to be the safest municipal bonds because they're backed by U.S. government subsidies. (This question's easy, because only one answer starts with III.) Next-safest are moral obligation bonds, which are also considered to be very safe because the state government has a moral obligation to help pay off the debt if necessary. Next come revenue bonds, which are backed by a revenue-producing facility. IDRs are considered to be the riskiest municipal bonds because although they're technically municipal bonds, they're backed only by lease payments made by a corporation.

Taxing Build America Bonds (BABs): Taxable Municipal Bonds

Although the interest on most municipal bonds is federally tax-free and sometimes triple tax-free (the interest is exempt from federal, state, and local taxes), you need to be aware that some bonds issued and backed by a municipality are taxable. These bonds were created under the Economic Recovery and Reinvestment Act of 2009 and are called *Build America Bonds* (BABs). The idea behind the BABs is to help municipalities raise money for infrastructure projects such as tunnels, bridges, roads, and so on. These bonds have either a higher coupon rate than most other municipal bonds because the municipality receives tax credits from the federal government or are more attractive because the investors receive tax credits from the federal government. As a result, these municipal bonds become more attractive to all investors, even ones with lower income-tax rates.

Even though the BAB program expired in 2010, plenty of these bonds are still out there, so you'll be tested on them. The two types of BABs are as follows:

- **Tax Credit BABs:** Investors in these bonds receive tax credits equal to 35 percent of the coupon rate.
- **Direct Payment BABs:** When a municipality issues Direct Payment BABs, it receives reimbursements from the U.S. Treasury equal to 35 percent of the coupon rate. As a result, Direct Payment BABs tend to have a higher coupon rate than Tax Credit BABs.

Municipal Notes: Securing Short-Term Financing

When municipalities need short-term (interim) financing, municipal notes come into play. These notes bring money into the municipality until other revenue is received. Municipal notes typically have maturities of one year or less (usually, three to five months). Know the different types of municipal notes listed below for the SIE exam:

- **Tax anticipation notes (TANs):** These notes provide financing for current operations in anticipation of future taxes, such as ad valorem taxes, that the municipality will collect.
- **Revenue anticipation notes (RANs):** These notes provide financing for current operations in anticipation of future revenue that the municipality will collect.
- **Tax and revenue anticipation notes (TRANs):** These notes are a combination of TANs and RANs.

- **Grant anticipation notes (GANs):** These notes provide interim financing for the municipality while it's waiting for a grant from the U.S. government. The notes are paid off from the grant funds.
- **Bond anticipation notes (BANs):** These notes provide interim financing for the municipality while it's waiting for long-term bonds to be issued.
- **Construction loan notes (CLNs):** These notes provide interim financing, typically for the construction of housing projects. The notes are typically paid back by the money the issuer receives from issuing longer-term bonds.
- **Tax-exempt commercial paper:** These short-term notes are usually issued by organizations such as universities with permission of the government. This debt obligation usually lasts up to 270 days to help the organization cover its short-term liabilities.
- **Variable-rate demand note:** These notes have a variable (floating or fluctuating) interest rate and have a put option (an option to sell back to the issuer). This gives the holder the ability to periodically (typically daily or weekly) return the note to the issuer at the stated value.

REMEMBER

AON (All-or-None) is an order qualifier (fill an entire order at a specific price or not at all) or type of underwriting; it's not a municipal note, no matter how much the "N" of "AON" makes it look like one.

Municipal notes aren't rated the same as municipal or corporate bonds (AAA, AA, A, and so on). Municipal notes have ratings as follows (from best to worst):

- **Moody's:** MIG 1, MIG 2, MIG 3, MIG 4
- **Standard & Poor's:** SP-1, SP-2, SP-3
- **Fitch:** F-1, F-2, F-3

Taking a Closer Look at Municipal Fund Securities

Municipal fund securities are similar to investment company securities (see Chapter 9) but are exempt from that definition under section 2(b) of the Investment Company Act of 1940. Municipal fund securities are established by municipal governments, municipal agencies, or educational institutions but don't represent loans to the government. Included in municipal fund securities are Section 529 savings plans, Achieving a Better Life Experience (ABLE) accounts, and Local Government Investment Pools (LGIPs).

Note: Rule G-45 requires dealers underwriting ABLE programs or 529 savings plans (not LGIPs) to submit information such as plan descriptive information, assets, asset allocation information for each plan available, contributions, performance data, and so on, semiannually and performance data annually through the Electronic Municipal Market Access (EMMA) system. MSRB's EMMA system is designed to provide market transparency to help protect market participants.

Section 529 savings plans

Section 529 savings plans are specialized educational savings accounts available to investors. These plans are also known as *qualified tuition plans* (QTPs) because they're designed to allow money to be saved for qualified expenses for higher education (colleges, postsecondary trade and vocational schools, postgraduate programs, and so on). As of 2018, the MSRB has also added as qualified higher education expenses tuition at an elementary or secondary public, religious, or private school. A Section 529 plan has an owner (the one who sets up and contributes to the plan — typically, a parent) and a beneficiary (the one who benefits from the plan — typically, a child or relative of the person who set up the plan). The contribution allowance varies from state to state, and contributions are made from after-tax dollars. Withdrawals of the amount invested plus interest received is tax-free, meaning that the earnings grow on a tax-deferred basis, and no tax is due if earnings are used for qualified educational expenses. Investors must receive an official statement or offering circular before opening the account.

You should note the following:

- Contribution levels may vary from one state to another.
- No income limits are placed on the investors in a 529 plan.
- Contributions are typically used to acquire units in a state trust. The assets must be invested in a matter consistent with the trust's investment objectives.
- Many investors contribute monthly, although they aren't required to do so.
- Any account balances that are unused (if, for example, the beneficiary decides not to go to college or goes to a cheaper local college) can be transferred to another immediate family related beneficiary (parents, kids, and/or siblings).
- The assets in the account always remain under the control of the owner (donor) even after the beneficiary becomes of legal age (18, in most states).
- In some cases, plans can be set up as prepaid tuition plans, which allow investors to prepay college at a locked-in rate, or college savings plans, which allow owners to invest as they see fit (aggressively, moderately, or conservatively).

Note: If a registered representative is recommending a 529 savings plan to a customer, they should explain the potential state tax deduction they will receive on their contributions. Remember, the contribution amount and deductibility amount varies from state-to-state.

ABLE (Achieving a Better Life Experience) accounts

ABLE (Achieving a Better Life Experience) programs are designed for people with provable disabilities and their families. Because of the extra needs and expenses (educational, housing, transportation, health, assistive technology, legal fees, and so on) involved in taking care of people with disabilities, ABLE accounts allow people to invest after-tax dollars in an ABLE account. Any earnings or distributions are tax-free as long as they're used to pay for qualified disability expenses for the beneficiary.

ABLE accounts may be opened by the eligible person, a parent or guardian, or a person granted power of attorney on behalf of the person with the disability. After the account is opened, anyone can contribute. As with higher education savings plans (see the preceding section), the investments may be conservative, moderate, or aggressive. Many states have annual contribution caps and maximum account balances. ABLE accounts may be opened for a disabled person even if they are receiving other benefits, such as Social Security disability, Medicaid, or private insurance. To be eligible, the onset of the disability must have been discovered before the person reached age 26.

LGIPs (Local Government Investment Pools)

LGIPs are established by states to provide other government entities (cities, counties, school districts, and so on) a short-term investment vehicle for investing their funds. Because these pools are set up by state governments for state entities, LGIPs are exempt from registration with the U.S. Securities and Exchange Commission (SEC). As a result, no prospectus is required, but LGIPs have disclosure documents to cover investment policies, operating procedures, and so on. Although they aren't money market funds, they're similar in the fact that many of them operate like those funds. Like money market funds, LGIPs typically set the net asset value (NAV) at $1, and normally, the money is invested safely, although it doesn't have to be. LGIPs may be sold directly to municipalities or through Municipal Advisers hired by the municipal issuers.

Understanding the Taxes on Municipal Bonds

Municipal bonds typically have lower yields than most other bonds. You may think that because U.S. government securities (T-bills, T-notes, T-bonds, and so on) are the safest of all securities, they should have the lowest yields. That's not so, because municipal bonds have a tax advantage that U.S. government bonds don't have: The interest received on municipal bonds, with a few exceptions (see the earlier section "Taxing Build America Bonds (BABs): Taxable Municipal Bonds") is federally tax-free. (The interest on most U.S. government securities is free of state taxes.)

Comparing municipal and corporate bonds equally

The *taxable equivalent yield* (TEY) tells you what the interest rate of a municipal bond would be if it weren't federally tax-free. You need the following formula to compare municipal bonds and corporate bonds equally:

$$\text{taxable equivalent yield (TEY)} = \frac{\text{municipal yield}}{100\% - \text{investor's tax bracket}}$$

REMEMBER

Because the investor's tax bracket comes into play with municipal bonds, municipal bonds are better suited for investors in higher tax brackets.

The following question tests your TEY knowledge.

EXAMPLE

Mrs. Stevenson is an investor who's in the 32 percent tax bracket. Which of the following securities would provide Mrs. Stevenson the BEST after-tax yield?

(A) 5 percent GO bond

(B) 6 percent T-bond

(C) 7 percent equipment trust bond

(D) 7 percent mortgage bond

The right answer is (A). If you were to look at this question straight up without considering any tax advantages, the answer would be (C) or (D). But you have to remember that the investor has to pay federal taxes on the interest received from the T-bond, equipment trust bond, and mortgage bond but doesn't have to pay federal taxes on the interest received from the GO municipal bond. So, you need to set up the TEY equation to compare all the bonds equally:

$$\text{taxable equivalent yield (TEY)} = \frac{\text{municipal yield}}{100\% - \text{investor's tax bracket}} = \frac{5\%}{100\% - 32\%} = \frac{5\%}{68\%} = 7.35\%$$

Looking into the SIE examiners' heads, you have to ask yourself, "Why would they be asking me this question?" Well, they want to make sure that you know that the interest received on municipal bonds is federally tax-free. Therefore, if you somehow forget the formula, you're still likely to be right if you pick a municipal bond as the answer when you get a question like the preceding one.

Note: Although this situation is less likely, the SIE may ask you to determine the *municipal equivalent yield* (MEY), which is the yield on a taxable bond after taxes. When you have that yield, you can compare it with a municipal bond to determine the best investment for one of your customers. The formula for the municipal equivalent yield is as follows:

$$\text{MEY} = \text{municipal yield} \times (100 - \text{investor's tax bracket})$$

Scot-free! Taking a look at triple tax-free municipal bonds

Bonds that U.S. territories (and federal districts) issue are triple tax-free; the interest is not taxed on the federal, state, or local level. These places include

- Puerto Rico
- Guam
- U.S. Virgin Islands
- American Samoa
- Washington, D.C.

Additionally, in most cases (a few exceptions exist), if you buy a municipal bond issued within your own state, the interest will be triple tax-free.

TIP

Unless you see the U.S. territories or Washington, D.C. in a municipal bond question, don't assume that the bonds are triple tax-free. Even if the question states that the investor buys a municipal bond issued within their own state, don't assume that it's triple tax-free unless the question specifically states that it is.

REMEMBER

The tax advantage of municipal bonds applies only to interest received. If investors sell municipal bonds for more than their cost basis, they have to pay taxes on the capital gains.

Following Municipal Bond Rules

Yes, unfortunately, the SIE tests you on rules relating to municipal bonds. Rules are part of life and part of the SIE exam. This section covers just a few rules that are specific to municipal securities, but if you're itching for more regulations, don't worry — you can see plenty more rules in my favorite chapter: Chapter 16.

Confirmations

All confirmations of trades must be sent or given to customers at or before the completion of the transaction (settlement date). Municipal securities settle the regular way (two business days after the trade date, or T+2). The following items are included in the confirmation:

- The broker–dealer's name, address, and phone number
- The capacity of the trade (whether the firm acted as a broker or dealer)
- The dollar amount of the commission (if the firm is acting as a broker)
- The customer's name
- Any bond particulars, such as the issuer's name, interest rate, maturity, and call features (if any)
- The trade date, time of execution, and settlement date
- Committee on Uniform Securities Identification Procedures (CUSIP) identification number (if there is one)
- Bond yield and dollar price
- Any accrued interest
- The registration form (registered as to principal only, book entry, or fully registered)
- Whether the bonds have been called or pre-refunded

Each broker, dealer, or municipal securities dealer must report to the MSRB all transactions in municipal securities through the Real-Time Reporting System (RTRS). The RTRS makes public reports on market activity and prices. In addition, the MSRB assesses transaction fees to make sure that they're in line with MSRB rules. The information of a transaction must be reported promptly. Exempt from the reporting process are transactions in securities without a Committee on Uniform Security Identification Procedures (CUSIP) number, transactions in municipal fund securities, and interdealer transactions (over the counter trades between one financial institution and another).

Advertising and record keeping

A brokerage firm has to keep all advertising for a minimum of three years, and these ads must be easily accessible (not in a bus storage locker) for at least two years.

The MSRB requires a principal (manager) to approve all advertising material of the firm before its first use. The principal must ensure that the advertising is accurate and true.

REMEMBER

Advertising includes any material designed for use in the public media. Advertising includes offering circulars, market and form letters, summaries of official statements, and so on. Preliminary and final official statements aren't considered to be advertising because they're prepared by the issuer; therefore, they don't require approval from a principal.

Gifts

According to MSRB rules, municipal securities dealers can't give customers gifts valued at more than $100 per year. (The board kind of has this thing against bribery.) Business expenses are exempt from the rule.

TIP

If you get a question on the SIE exam relating to what qualifies as a gift, remember that business expenses are exempt. Business expenses can be airline tickets (for the customer to meet with you, not for the customer to vacation in the Bahamas), hotel expenses (for the customer's lodging while they're meeting with you), business meals, and so on. You should note that FINRA gift rules fall directly in line with MSRB's gift rules.

Commissions

Although no particular guideline states what percentage broker–dealers can charge (as with the 5-percent markup policy; see Chapter 16), all commissions, markups, and markdowns must be fair and reasonable, and policies can't discriminate among customers. The items that firms should consider follow:

- The market value of the securities at the time of the trade.
- The total dollar amount of the transaction. Although you're usually going to charge more money for a larger transaction, the percentage charged is usually lower.
- The difficulty of the trade. If you had to jump through hoops to make sure that the trade was completed, you're entitled to charge more.
- The fact that you and the firm that you work for are entitled to make a profit (which, of course, is the reason you got involved in the business to begin with).

You can't take into account a client's race, ethnicity, religion, gender, gender identity, sexual orientation, disability, age, or accent, or how much you like (or dislike) the client.

Gathering Municipal Bond Info

As with other investments, you need to be able to locate information if you're going to sell municipal securities to investors. You may find that information about municipal bonds isn't as readily available as it is for most other securities. Some municipal bonds are relatively *thin* issues (not many are sold or traded) or may be of interest only to investors in a particular geographic location. This section reviews some of the information that you have to know to ace the SIE exam.

The bond resolution (indenture)

A *bond resolution* (indenture) provides investors contract terms including the coupon rate, years until maturity, and collateral backing the bond (if any). Almost every municipal bond comes with a bond indenture, which is printed on the face of most municipal bond certificates. A bond indenture isn't required by law, but it makes the bonds more marketable because it serves as a contract between the municipality and a trustee that's appointed to protect the investors' rights. Included in the indenture are the *flow of funds* (how the money collected from the revenue-producing project is distributed) and any assets that may be backing the issue.

Legal opinion

Printed on the face of municipal bond certificates, the legal opinion is prepared and signed by a municipal bond counsel (attorney). The purpose of the legal opinion is to verify that the issue is legally binding on the issuer and conforms to tax laws. Additionally, the legal opinion may state that interest received from the bonds is tax-exempt.

REMEMBER

If a bond is stamped *ex-legal,* it doesn't contain a legal opinion.

Official statement

Municipal bonds don't have a prospectus; instead, municipalities usually provide an official statement. Like prospectuses, official statements come in *preliminary* and *final versions*. The preliminary version of the statement doesn't include an offering price or coupon rate. The *official statement* (OS) is the document that the issuer prepares or has prepared; it states what the funds will be used for, provides information about the municipality, and offers details how the funds will be repaid. The official statement also includes:

- The offering terms
- The underwriting spread (basically, who gets what)
- A description of the bonds
- A description of the issuer
- The offering price
- The coupon rate
- The feasibility statement (for revenue bonds — how much sense the project makes)
- The legal opinion (unless stamped ex-legal)

Any dealer selling municipal securities to a customer during the issue's underwriting period (see "The Primary Market: Bringing New Municipal Bonds to Market" earlier in this chapter) must deliver a final official statement, if there is one, to a customer by the settlement of the transaction. If a dealer is selling a new issue to another dealer, it must deliver the official statement to the purchasing dealer within one business day.

"G" That's a Whole Lot of Rules

Yes, there are a lot of "G" rules. You'll have to study even more before you take some of the corequisite exams, such as the Series 7. Some of these rules would be taller than you if they were printed out, even if you're tall enough to give Shaquille O'Neal a run for his money.

TIP

The following list isn't as huge as it could be because many of the rules are already covered throughout this book. But you're not expected to know the minute details of each rule — just the main idea. Fortunately, many of the rules just make sense. Also, don't worry about the rule numbers; pay more attention to the rule.

- **Rule G-2** (standards of professional qualifications): Before effecting any transaction (solicitation, negotiation of terms, or execution of a trade) in — or inducing or attempting to induce the purchase or sale of — any municipal security, the dealer and every person associated with that dealer must be qualified in accordance with MSRB rules.
- **Rule G-3** (professional qualification requirements): Broker–dealers that conduct a business in general securities must have at least one associated person qualified as a municipal securities principal to oversee and supervise their municipal securities business.
- **Rule G-7** (information concerning associated persons): Associated persons (municipal securities sales principal, municipal securities principal, general securities principal engaging in

municipal securities business, municipal securities representative, limited representatives, and so on) must provide their employer a form U-4 or MSD-4 for bank dealers. A U-4 form is an application form sent to the Central Registration Deposit (CRD) along with the applicant's fingerprints. Included in the form are the applicant's address, work history, arrest record (if any — ideally not), education, previous addresses, and so on. A copy of the form must be kept by the employer. In addition, the employer is responsible for calling previous employers to find out whether the information in the form is accurate. In the event that the applicant's information changes any time during employ, the employer is responsible for updating the information.

- **Rules G-8 and G-9** (books and records requirements): All brokers, dealers, and municipal securities dealers must keep records regarding municipal securities business. Among the many items they have to keep are the following:
  - Records of original entry (blotters): Itemized daily records of all purchases and sales of municipal securities
  - Account records: Account records for each customer account
  - Securities records: Separate records showing all municipal securities positions
  - Subsidiary records: Records of municipal securities in transfer, municipal securities borrowed or loaned, municipal securities transactions not completed by the settlement date, and so on
  - Put options and repurchase agreements
  - Records for agency transactions
  - Records concerning primary offerings
  - Copies of confirmations (for more on confirmations, see Chapter 16)
  - Customer account information
  - Customer complaints
  - Records concerning political contributions

  TIP

  You aren't expected to remember the entire preceding list. Just get a general feeling for what's required. It looks as though the MSRB wants the broker–dealer or municipal securities dealer to maintain records of just about everything.

- **Rule G-9** (preservation of records): MSRB's record-keeping requirements are very similar to (but not exactly the same as) FINRA's requirements. Most records have to be kept for four or six years. To keep you from pulling your hair out (this coming from a bald man), look at the record-keeping requirements in Chapter 16, where I note how the MSRB rules and FINRA rules differ.

- **Rule G-10** (delivery of investment brochure): Broker–dealers and municipal securities dealers must send yearly written statements (which may be electronic) to each customer, stating that they're registered with the SEC and MSRB. The statement must also include the web address for the MSRB and a statement of how to receive an investment brochure on the website describing customer protections and how to file a complaint to the proper authority. The same information holds true of Municipal Advisers, who must also send yearly statements with the same information as well as provide information on how to get the client brochure on the MSRB website.

- **Rule G-13** (quotations): According to MSRB rules, all quotations for municipal securities published or distributed by any broker–dealer, municipal securities dealer, or person associated with a broker–dealer or municipal securities dealer must be genuine.

- **Rule G-17** (conduct of municipal securities and municipal adviser activities): Municipal securities broker–dealers, municipal securities dealers, Municipal Advisers, agents, and so on shall deal fairly with all people and not engage in dishonest, deceptive, or unfair practices.
- **Rule G-18** (best execution): When entering into a municipal securities transaction with a customer or customer of another broker, dealer, or municipal securities dealer, a broker must use reasonable diligence to attempt to get the best price for the security (lowest buying price or highest selling price for the customer). This rule is similar to Rule G-30, but G-30 includes markups, markdowns, and commission.
- **Rule G-21** (advertising): Advertisements by municipal securities dealers, brokers, and dealers can't contain false or misleading statements. Advertisements include published material used in electronic or other public media, promotional literature (written or electronic) made available to customers or the public, circulars, market letters, seminar text, press releases, and so on. Preliminary official statements, official statements, offering circulars, and so on aren't considered to be advertisements.
- **Rule G-25** (improper use of assets): Brokers, dealers, and municipal securities dealers shall not make improper use of municipal securities or funds held on behalf of another person. In addition, no broker, dealer, or municipal securities dealer can make a guarantee against loss, and they may not share directly or indirectly in the profit or losses in a customer's account. An associated person may set up a partnership or joint account with a customer and share in the profits or losses based on the contribution made into the account. In that case, a proportionate sharing agreement should be in place.
- **Rule G-30** (pricing and commissions): If buying or selling municipal securities for a customer on a principal basis (for or from the dealer's inventory), the aggregate price (including the markdown or markup) must be fair and reasonable. If buying or selling municipal securities on an agency basis for a customer, the broker–dealer is responsible for making a reasonable effort to obtain the best price for the customer, and the commission charged must be fair and reasonable in relation to prevailing market conditions.
- **Rule G-34** (CUSIP numbers, new issue, and market information requirements): For new issues of municipal bonds (whether negotiated or competitive offerings), the managing underwriters must apply to CUSIP to receive identification numbers for the bonds for each maturity, if more than one. For negotiated offerings in which the underwriter is chosen directly, the managing underwriter must apply before the pricing of the new municipal issue. For competitive offerings, the managing underwriter must apply after winning the bid. In the event that the municipal issuer hired an adviser, the municipal adviser must apply no later than the business day after the notice of sale is published.
- **Rule G-37** (political contributions and prohibitions on municipal securities business): This rule prohibits brokers, dealers, municipal securities dealers, and Municipal Advisers from engaging in municipal adviser business with municipal entities if they've made political contributions to officials of such municipal entities. If a political contribution was made as described in the first sentence, they're not allowed to engage in municipal securities business with that municipal entity for a period of two years after the contribution. *Municipal finance professionals* (MFPs) are allowed to make political contributions of up to $250 per election to a candidate they're entitled to vote for.
- **Rule G-47** (time of trade disclosure): Brokers, dealers, and municipal securities advisers may not trade a municipal security (buy from or sell to) with a customer (whether solicited or unsolicited) without providing all material information about the trade. The information must be provided before or at the time of sale and can be disclosed orally or in writing.

  If you're dying to know, you can view a complete list of what the MSRB considers to be material information at `www.msrb.org/Rules-and-Interpretations/MSRB-Rules/General/Rule-G-47.aspx`. It shouldn't be necessary to commit this information to memory.

Testing Your Knowledge

Other than the TEY formula, there wasn't much in the way of math in this chapter. Anyway, here's a 15-question quiz to help you get a feel for the type of municipal securities questions you're likely to see on the SIE exam.

Practice questions

1. Which of the following municipal securities could have a rating of MIG 2?

   I. PN

   II. Tax-exempt commercial paper

   III. TRAN

   IV. IDR

   (A) I and III

   (B) I, II, and III

   (C) I, III, and IV

   (D) II, III, and IV

2. Which of the following is NOT TRUE about general obligation bonds?

   (A) They are backed by the taxing power of the municipality.

   (B) They are issued to fund revenue-producing facilities.

   (C) They are subject to a debt ceiling.

   (D) They need voter approval to be issued.

3. A municipal securities broker-dealer sells 100 GO bonds to a customer on a principal basis. How much of a markup may the broker–dealer charge?

   (A) 5% of the selling price

   (B) 8% of the selling price

   (C) 8½% of the selling price

   (D) Whatever is fair and reasonable

4. Which of the following documents include all relevant information about a municipal issuer?

   (A) Official statement

   (B) Notice of sale

   (C) Prospectus

   (D) Indenture

5. A special assessment bond is backed by

   (A) a private user

   (B) excise taxes

   (C) charges on the benefitted property

   (D) a revenue-producing facility

6. According to MSRB rules, brokerage firms must keep all municipal securities advertising

I. for a minimum of 3 years

II. for a minimum of 6 years

III. easily accessible for a minimum of 1 year

IV. easily accessible for a minimum of 2 years

(A) I and III

(B) I and IV

(C) II and III

(D) II and IV

7. Municipal bonds issued by each of the following would be triple tax-free EXCEPT

(A) Hawaii

(B) Guam

(C) Washington, D.C.

(D) Puerto Rico

8. Municipal bonds settle the regular way in

(A) 1 business day after the trade date

(B) 2 business days after the trade date

(C) 3 business days after the trade date

(D) 4 business days after the trade date

9. Under MSRB rules, how often must broker–dealers and municipal securities dealers send out investment brochures to their customers stating that they are registered with the SEC and MSRB?

(A) Once, before the customer opening the account

(B) Once, within 60 days of the customer opening the account

(C) Once, any time before the first transaction

(D) Once a year

10. According to MSRB rules, which of the following are considered to be forms of advertising?

I. Market letters

II. Seminar text

III. Official statements

IV. Offering circulars

(A) I only

(B) I and II

(C) I, II, and III

(D) I, II, III, and IV

11. What is the taxable equivalent yield for an investor purchasing a 5 percent municipal bond if they're in the 24 percent tax bracket?

(A) 5%

(B) 5.88%

(C) 6.14%

(D) 6.58%

12. All of the following are types of municipal notes EXCEPT

(A) PN

(B) TRAN

(C) AON

(D) CLN

13. Which of the following IS NOT a type of municipal fund security?

(A) Section 529 plans

(B) ABLE accounts

(C) LGIPs

(D) LTGOs

14. All things being equal, which of the following municipal bonds would most likely have the lowest coupon rate?

(A) Special assessment bonds

(B) LTGOs

(C) PHAs

(D) IDRs

15. Under MSRB rules, all syndicates must establish an allocation of orders, which states which orders are to be filled first. Place the typical allocation of orders in order from first to be filled to last to be filled.

I. Member

II. Designated

III. Syndicate

IV. Presale

(A) IV, III, II, I

(B) I, II, III, IV

(C) II, I, III, IV

(D) III, IV, I, II

16. Which type of security provides holders with a floating interest rate, a stated maturity date, and an option to put the security back to the issuer on a daily or weekly basis?

(A) Fixed annuities

(B) Build America Bonds

(C) Variable-rate demand notes

(D) GNMAs

Answers and explanations

1. **B.** MIG (Moody's Investment Grade) ratings are for municipal notes (short-term municipal securities). Municipal notes include TANs, RANs, TRANs, GANs, BANs, CLNs, PNs, and tax-exempt commercial paper. IDRs (Industrial Development Revenue bonds) are long-term debt securities issued by a municipality backed by a private user.

2. **B.** If you look at (A) and (B), they more or less contradict each other, so it makes sense that one of them is the answer. General obligation (GO) bonds are backed by the municipality's taxing power while revenue bonds are backed by money collected from revenue-producing facilities. Therefore, (B) is the correct answer for this question.

3. **D.** There is no set rule as far as the percentage that a municipal broker–dealer may charge when buying or selling municipal securities. Because this trade was executed out of the broker–dealer's inventory, you would expect that the amount that the broker–dealer would charge would be relatively low. The rule is "whatever is fair and reasonable," meaning that if the broker–dealer expended a lot of effort getting the securities, they would not be in violation if charging extra.

4. **A.** Municipal bonds don't have a prospectus. Instead, they have an official statement. Official statements, like prospectuses, come in preliminary and final versions. If prepared, an official statement would contain things like the offering terms, a description of the bonds being offered, a description of the issuer, the bond offering price, the coupon rate, and the maturity.

5. **C.** A special assessment (special district or special purpose) bond is backed on taxes on the properties that benefit from the improvement(s).

6. **B.** Under MSRB rules, all municipal securities advertising must be kept on file for a minimum of three years and kept easily accessible for at least two years.

7. **A.** U.S. territory bonds and bonds issued by federal districts are triple tax-free (exempt from federal, state, and local tax). Bonds issued by the state of Hawaii are not, however. The triple tax-free bonds you should be aware of are the ones issued by Puerto Rico, Guam, U.S. Virgin Islands, American Samoa, and Washington, D.C.

8. **B.** Municipal securities trades settle the regular way in two business days after the trade date (T+2, which is trade date plus two business days).

9. **D.** Broker–dealers and municipal securities dealers must send yearly statements to their clients, which may be in electronic form (emails and such). These statements must let the clients know that their firm is registered with the SEC and MSRB. The statement must let clients know their protections, how they can make a complaint to the proper authority, and so on.

10. **B.** Advertisements include promotional literature (written and electronic), circulars, market letters, seminar text, press releases, and so on. Preliminary official statements, official statements, offering circulars, and so on are not considered to be advertisements.

11. **D.** Because the interest received on municipal bonds is federally tax-free, you have to determine the taxable equivalent yield to be able to compare municipal bonds and corporate bonds equally. So, when you're using the taxable equivalent yield (TEY) formula, you're looking at what a corporate bond would have to yield to be equal to this municipal bond after taxes. See the following formula:

$$\text{TEY} = \frac{\text{municipal yield}}{100\% - \text{investor's tax bracket}} = \frac{5\%}{100\% - 24\%} = \frac{5\%}{76\%} = 6.58\%$$

So, for this investor in the 24 percent tax bracket, buying a 5 percent municipal bond is equivalent to purchasing a 6.58 percent corporate bond after taxes.

12. **C.** Municipal notes are short-term (one year or less) debt securities issued by municipalities to cover a short-term need. These include TANs, RANs, TRANs, GANs, BANs, CLNs, PNs, and tax-exempt commercial paper. AON (all-or-none) is an order qualifier and not a type of municipal note.

13. **D.** Section 529 plans (qualified tuition plans), ABLE (Achieving a Better Life Experience) accounts, and LGIPs (Local Government Investment Pools) are all types of municipal fund securities. LTGOs (Limited-Tax General Obligation) bonds are general bonds issued in which the backing municipality is limited on the property taxes they can collect from the people in their municipality backing the bond.

14. **C.** Remember, more risk equals more reward, so in most cases, riskier bonds are going to have a higher coupon rate and safer bonds a lower coupon rate. Out of the choices given, PHA (Public Housing Authority) bonds are the safest because they are backed by U.S. government subsidies.

15. **A.** Typically, a syndicate sets up the way their orders are to be filled as follows: presale, syndicate (group-net), designated, member.

16. **C.** Variable-rate demand notes are municipal securities that have a variable interest rate as well as a put option, which allows the holder to sell the bond back to the issuer at a stated value.